

Time Value of Money Practice Worksheet

Part 1 – Concepts

1. What does the Time Value of Money mean?

Answer: _____

2. Why is money today worth more than money tomorrow?

Answer: _____

3. What do PV and FV represent?

Answer: _____

Part 2 – Future Value

If you invest \$1,000 today at an annual interest rate of 5% for 3 years:

$$FV = PV \times (1 + r)^t$$

Calculate the future value:

FV = _____

Part 3 – Present Value

You will receive \$5,000 in 4 years. If the discount rate is 6%, what is the present value?

$$PV = FV / (1 + r)^t$$

PV = _____

Part 4 – Thinking Question

Why is TVM important when evaluating investments or loans?
